



Early Payment Default

EARLY PAYMENT DEFAULT (EPD)

Flagstar shall consider an Early Payment Default when any of **the** Borrower's first **four (4)** monthly payments **due to Flagstar** becomes 90 days or more delinquent. In the event that any loan sold to Flagstar is classified as an Early Payment Default, the Seller shall pay Flagstar the following EPD penalty fee:

- 0.5% of the loan amount **if underwritten by Flagstar**
- 2.0% of the loan amount **if underwritten by Delegated Correspondent**.

COLLECTION OF EARLY PAYMENT DEFAULT FEES

A statement will be sent to all Sellers who have loans with early payment defaults on a monthly basis. Payment for all early payment default fees should be remitted within 30 days of the initial billing. Failure to do so may result in the deduction of future premiums until the amount due is satisfied.